

GATX Corporation

NYSE: GATX

HOLD

· Price target **\$165.54** · Expected 12-month return **+2.9%**

· price **\$163.34**, 2026-10-07 close · dated **October 8, 2026**

Transportation & Rail Leasing

The thesis. GATX is a good business at close to a fair price. It is the largest railcar lessor in North America, the fleet doubled in January through the Wells Fargo deal, utilization is 98% and the industry is not building enough cars. None of that is in dispute. What is in dispute is 2027 earnings. The Street has \$11.27. My model, built from the 10-K and the Q2 10-Q, gets **\$10.47**, and the gap is interest: the Wells fleet came with about \$3B of GABX debt (now a \$1.9B floating term loan plus \$1B of fixed notes), and the interest on it eats most of what lease repricing adds. At GATX's own ten-year median multiple of 16.34x, my earnings are worth **\$170**, and a vintage-marked net asset value agrees at \$169. The buy-side lens is harsher: the stock trades at about 2.0x book, which needs a higher return on equity than the 12 to 13% the filings show. Justified P/B gives \$158. Weighting the three (P/B 35%, NAV 35%, P/E 30%) gives \$166 against \$163.34. **After the 4% drop on October 7 the price no longer pays for the Street's earnings, but it still pays for a return on equity the company does not earn.** Close to fair, not cheap: above about \$177 the same rule says SELL, below about \$146 BUY. Fleet growth: GATX owns about a third of it (30% at close, 33.5% after buying more in June).

PRICE 10-07	MARKET CAP diluted	DIVIDEND YIELD FWD	P/E — NTM BMG EPS	10-YR MEDIAN NTM daily, n=2,606
\$163.34	\$5.9B	1.6%	15.60x	16.34x

HEADQUARTERS	Chicago, Illinois
FOUNDED	1898, public since 1916
CEO	Robert C. Lyons
FLEET	~278,000 railcars owned and managed; Rail NA 192,638 incl. GABX
SEGMENTS	Rail North America, Rail International, Engine Leasing, Trifleet
GABX JV	101,000 Wells Fargo cars, \$4.2B, Jan 2026; GATX 33.5%, Brookfield 66.5%
CREDIT RATINGS	BBB / Baa1 / BBB+ (S&P / Moody's / Fitch)
MARGINAL COST OF DEBT	5.95%, 2035 notes, Sep 2026

WHY THE PRICE IS CLOSE TO FAIR

- **Only the cars whose leases end this year get the new rate.** Leases run about 54 months, so roughly a quarter of the fleet reprices in any year. The Lease Price Index (the change in rate on renewal) was +16.8% in Q2 2026, down from +24.5% a year earlier. On the renewing slice that is worth about **+4% on the blended fleet rate**, or roughly **\$31M of pretax to GATX in 2027, about \$0.67 a share**, and it fades as the cheap 2021 leases run out. The repricing story is real and it is already mostly in the numbers.
- **Interest is the line the Street is under-modeling.** Debt went from \$8.3B to \$12.5B in one year. The 2026 maturities carry a 3.05% coupon and refinance near 5.30% to 5.95%. My model has 2027 interest at **\$616M**, up about **\$224M** from the pre-Wells run rate. Against about \$31M of repricing, that is the whole \$0.80 gap between my \$10.47 and the Street's \$11.27.
- **The earnings cushion is asset sales, not leasing.** Disposition gains (selling old cars above book) are guided to \$200M for 2026 and are about **40% of pretax income**. They are recurring but cyclical. Core EPS with no gains is **\$5.57**; at the six-year average of \$105M of gains it is **\$7.81**, which puts the stock at **22.0x** normalized earnings.
- **The RRP engine JV pays out less than it earns.** GATX books 50% of the Rolls-Royce JV's profit as one line (\$117.5M after tax in 2025) but received \$50M of cash. The earnings are real; the cash conversion is 43%. I model dividends, not the accounting share, when I value it.
- **Brookfield owns two-thirds of the new fleet.** GABX is 100% consolidated, so revenue, interest and utilization all look bigger, but 66.5% of its profit leaves through the non-controlling interest line. GATX also guarantees 100% of the GABX debt while owning about a third of the equity (30% at close, 33.5% after buying more in June). The call options to buy Brookfield out are real but undisclosed in price; the first tranche cost \$66M for 3.5 points.
- **Four valuation methods: two now above the price, two below.** P/E on my earnings \$170. Net asset value with each vintage of the fleet marked to market \$169. A seven-lessor P/B-versus-ROE regression \$161 (weak fit, shown not weighted). Residual income, which asks what return on equity the price requires, \$99: the price needs a return on equity well above the 12 to 13% the filings support with gains included.

VALUATION

My price target justified P/B 35% / NAV 35% / P/E 30%	\$165.54
How I got it $0.35 \times \$157.56 + 0.35 \times \$169.91 + 0.30 \times \$169.76$	three legs, weighted
P/E leg 10-yr median 16.34x, bear/base/bull weighted 25/50/25	\$169.76
Justified P/B leg (ROE 12.2% – g 5.0%) / (Ke 9.0% – g 5.0%) = 1.80x book of \$87.59; g = retention x ROE, capped	\$157.56
Expected 12-month total return target plus \$2.61 dividend at \$163.34	+2.9%
Rating rule pre-registered, mechanical	BUY > +15% · SELL < –5%
Rule in dollars	SELL above about \$177 · BUY below about \$146
NAV leg fleet marked by vintage 1.02 to 1.27x, fleet-wide 1.04x, after deferred tax	\$169.91
Residual income per share ROE minus Ke 9.0%, 10-year fade; shown, not weighted	\$99.17
Peer P/B on ROE	\$161.97

ESTIMATES

	2025A	2026E	2027E
Earnings per share, BMG adjusted, the basis guidance uses	\$8.75	\$10.53	\$10.47
Earnings per share, consensus FactSet	\$8.75	\$10.23	\$11.27
Price ÷ BMG earnings at \$163.34	18.7x	15.5x	15.6x
Revenue	\$1.74B	\$2.38B	\$2.47B
EBIT margin	30.7%	29.3%	28.4%
Interest expense	\$413M	\$589M	\$616M
Return on equity	12.6%	13.2%	12.2%
Dividend per share	\$2.44	\$2.56	\$2.61
Railcars leased out North America	99.0%	99.0%	99.0%

2026 guidance is \$9.90 to \$10.30; I am above it because I carry \$155M of legacy disposition gains against a \$130M guide with \$117.5M already booked in H1. 2025 GAAP EPS was \$9.12; \$8.75 is the adjusted figure. Interest 2025A is cash interest paid. 2026E and 2027E are the BMG model, published v32 basis held until the Q3 review.

Published analyst targets	\$218-\$221
FactSet average \$219.75, 4 brokers, all Buy	

Why three methods and not one. A ten-year median P/E assumes GATX is the same business it averaged over the window, and it is not: leverage is 3.3×, a third of the fleet arrived in January with about \$3B of GABX debt, and gains are a bigger share of earnings. So P/E is 30%, not 100%. The two P/B-based legs ask what the equity underneath the earnings is worth: NAV marks the cars, justified P/B asks whether about 2.0× book is earned. The weights were set on method quality on 2026-10-01 with all legs visible; residual income is left at zero because it is justified P/B in another form, and the peer regression because R² is 0.03.

The inversion check, after the drop. At 16.34×, \$163.34 implies 2027 EPS of **\$10.00**, below my \$10.47: the market now prices less than my earnings at the median multiple, which is why the expected return turned positive. It is not enough for a BUY; that needs a price below about \$146. The P/B leg is most sensitive to the growth input: at 2% growth it is \$127 and the target \$155; at 4%, \$143 and \$161; at the model's sustainable 5%, \$158 and \$166. At the model's growth input the target is now above the price, but not 15% above it.

What the \$166 excludes. The Brookfield call options. The first exercise on 2026-06-30 paid \$66.2M for 3.5 points of GABX at a premium charged to equity. If used railcar values hold, the remaining tranches are worth something. Neither my target nor the Street's includes them, and they cut both ways: each buy-in adds debt-funded earnings.

EARNINGS BRIDGE AND SENSITIVITY

The Street takes 2027 EPS from \$10.23 to \$11.27, up \$1.04. My model takes it from \$10.53 to \$10.47. Same starting business, different arithmetic on three lines. Repricing is the only line that helps, and it is small because **only about a quarter of the fleet renews in a year** and the acquired Wells pool is on longer, lower-rate leases that roll slowly. Interest is the line that hurts, and it is large because the 2026 maturities reprice from 3.05% to the high fives and the \$1.9B GABX term loan still floats (the other \$1B was refinanced into fixed notes at 4.63% and 5.30%).

2027 vs 2026, BMG MODEL	PRETAX	CERTAINTY
Repricing on renewing cars, legacy and GABX	~+\$31M	Contractual
Added interest vs pre-Wells run rate	~-\$224M	Contractual
Disposition gains, \$155M legacy held flat	~\$0	Cyclical
RRPF dividends vs equity share	cash 43% of earnings	Discretionary
2027E EPS, BMG vs Street	\$10.47 vs \$11.27	gap \$0.80

Break-even LPI in 2027 is -29%; the 2017 trough was -28.2%. The thesis is not that repricing fails. It is that repricing cannot outrun the interest. For repricing alone to make GATX a BUY under my rule, LPI would need to reach about **+80%**.

SCENARIOS AND RISK/REWARD

SCENARIO	2027 EPS	MULTIPLE	PRICE	TOTAL RETURN	WHAT HAS TO HAPPEN
Bull, 25%	\$10.66	17.69×	\$189	+17%	LPI holds mid-teens through 2028, renewal success 88%, legacy gains \$175M, RRPF pays \$150M, new debt at 4.80%. Ten-year 75th percentile multiple.
Street earnings, my multiple	\$11.27	16.34×	\$184	+14%	The Street is right on 2027 and the market keeps paying the ten-year median.
Base, 50%	\$10.43	16.34×	\$170	+6%	LPI fades from +16.8% toward low single digits by 2029, legacy gains \$155M, interest as modeled, multiple at the ten-year median.
Bear, 25%	\$10.12	14.78×	\$150	-7%	LPI fades to -10% by 2029, renewal success 75%, legacy gains at the \$130M guide then \$100M, new debt at 6.00% (the kill line). Ten-year 25th percentile multiple.

These are the P/E leg's three cases, from the full model with one scenario switch, not a straight-line grid: the balance sheet balances and cash ties in every case. Probability-weighted they give the \$169.76 P/E leg; NAV and justified P/B barely move by scenario. Returns include the \$2.61 dividend. Multiples are percentiles of GATX's own ten-year NTM distribution, not peer medians. **The fleet mark is the bull's lever:** at a 1.14× fleet mark instead of 1.04× the weighted target is \$177, about +10% with the dividend: still a HOLD.

SIGNPOSTS AND KILL CRITERIA

- **Q3 results, 2026-10-29.** BMG \$2.70 (model v38) vs FactSet consensus \$2.46. I am above the Street on the quarter because H1 gains ran ahead of guide, and below it on 2027 because of interest. If Q3 prints above \$2.70 with gains flat, my interest math is wrong and I say so.
- **Legacy disposition gains, FY2026.** H1 booked \$117.5M against a \$130M legacy guide; I carry \$155M. **A guide raise at Q3 is likely and is already in my number.** Below \$146M the call moves toward SELL.
- **GATX's own LPI, quarter by quarter.** +24.5%, +22.3%, +16.8%. **Below +10% in any quarter** is a kill criterion on the original thesis; for this call it confirms the fade. Above +20% again would say the repricing runway is longer than I model.
- **Renewal success with the LPI.** 87% in 2025, 79.1% in Q1, 82.6% in Q2. One falling is mechanical. Both falling is price resistance.

IF THE MULTIPLE MOVES	MULTIPLE	ON \$10.47	RETURN
10-yr median the P/E leg	16.34×	\$171	+5%
5-yr median	17.08×	\$179	+9%
Today's multiple on my EPS	15.60×	\$163	0%
5-yr 75th percentile	18.11×	\$190	+16%

At the five-year 75th percentile multiple my earnings reach +16% before the dividend, but that is the P/E leg alone; the P/B and NAV legs hold the weighted target at \$166. Returns here are price only; the headline +2.9% includes the \$2.61 dividend on the weighted target. Each \$50M of disposition gains above or below my \$155M is about \$1.06 of EPS.

WHAT WOULD MAKE ME WRONG

- **The Street is right about interest.** If GATX terms out the GABX loan cheaply, or rates fall, 2027 interest comes in below my \$616M. Every \$50M of interest is about \$1.06 of EPS after tax, the same lever as gains. A 2027 print near \$11.27 moves this toward BUY at the same multiple.
- **Book understates the fleet more than I mark it.** GATX sells its oldest cars at 1.76× book. I mark the whole fleet at 1.04×. If the right mark is 1.14×, the target is \$177; at 1.27× it is above the price. This is the single assumption a bull should attack, and it is on the page.
- **The multiple re-rates.** GATX has closed at or above 17.8× on a quarter to a third of trading days in 2024, 2025 and 2026. At the five-year 75th percentile of 18.11× my own earnings are worth \$190. I am not paying that for gains-heavy earnings, but the market has.

- **Cost of new ten-year debt.** The 2035 notes yield 5.95%, five basis points from the 6.00% trigger. Any ten-year issuance at or above 6.00% fires regardless of the tape.
- **Utilization below 96%, or a rating below BBB--.** Both pre-registered. Neither is close: 98.0% and one notch of headroom (Fitch two).
- **The price itself.** Above about \$177 the rule moves the call to SELL; below about \$146 to BUY. **The target moved from \$170 to \$166 when the method changed, not when the facts did; the direction never moved.**
- **Dispositions stay at a plateau, not a peak.** Used railcar prices are supported by a 25% tariff on imported tank cars, a backlog near a 15-year low, and scrapping that outruns builds. If \$200M a year is the new normal rather than a cyclical high, my normalized-gains EPS of \$7.81 is too low and the 22.0x argument weakens.
- **An accretive Brookfield buy-in.** Each tranche moves earnings from the NCI line to GATX. The first cost \$66M for 3.5 points. A larger exercise at a fair price is earnings I have not modeled.
- **The supply story is stronger than I give it credit for.** 2025 orders were 20,361 against 35,000 to 40,000 of replacement need, the fleet is shrinking, and 135,000 cars hit the 50-year limit within five years. If LPI stays in the high teens into 2028 instead of fading, my bull case becomes the base.
- **Everyone else is a Buy.** Four brokers, all Buy, average target \$219.75. When I am the only bear, the burden of proof is mine. The proof is one number, 2027 interest, and it is checkable every quarter.

Sources: GATX FY2025 10-K; Q2 2026 10-Q and release; Q4 2025 and Q2 2026 call transcripts; GABX 8-Ks (Jan 5 and Jul 1, 2026); Fitch affirmation Jul 2026; FactSet consensus and NTM P/E history; BMG model GATX-FSM-v37 (2026-10-07; published target from v32, held until the Q3 review). Prior call: BUY, \$200, opened 2026-09-11 at \$178.53; revised to SELL (\$170) 2026-09-28 at \$183.73 after the model build; target method revised to weighted P/B, NAV and P/E (\$155) 2026-10-01; growth input corrected (\$166) 2026-10-02; revised HOLD 2026-10-06 at \$172.27 on price, target unchanged; price updated to the 2026-10-07 close of \$163.34, still HOLD. Evaluation 2027-09-13, benchmark XLI.

Brock Gorzelanczyk | 1 · v9, 2026-10-08

Student research for educational purposes. Nothing here is investment advice or a recommendation to buy or sell any security. No position held in GATX.